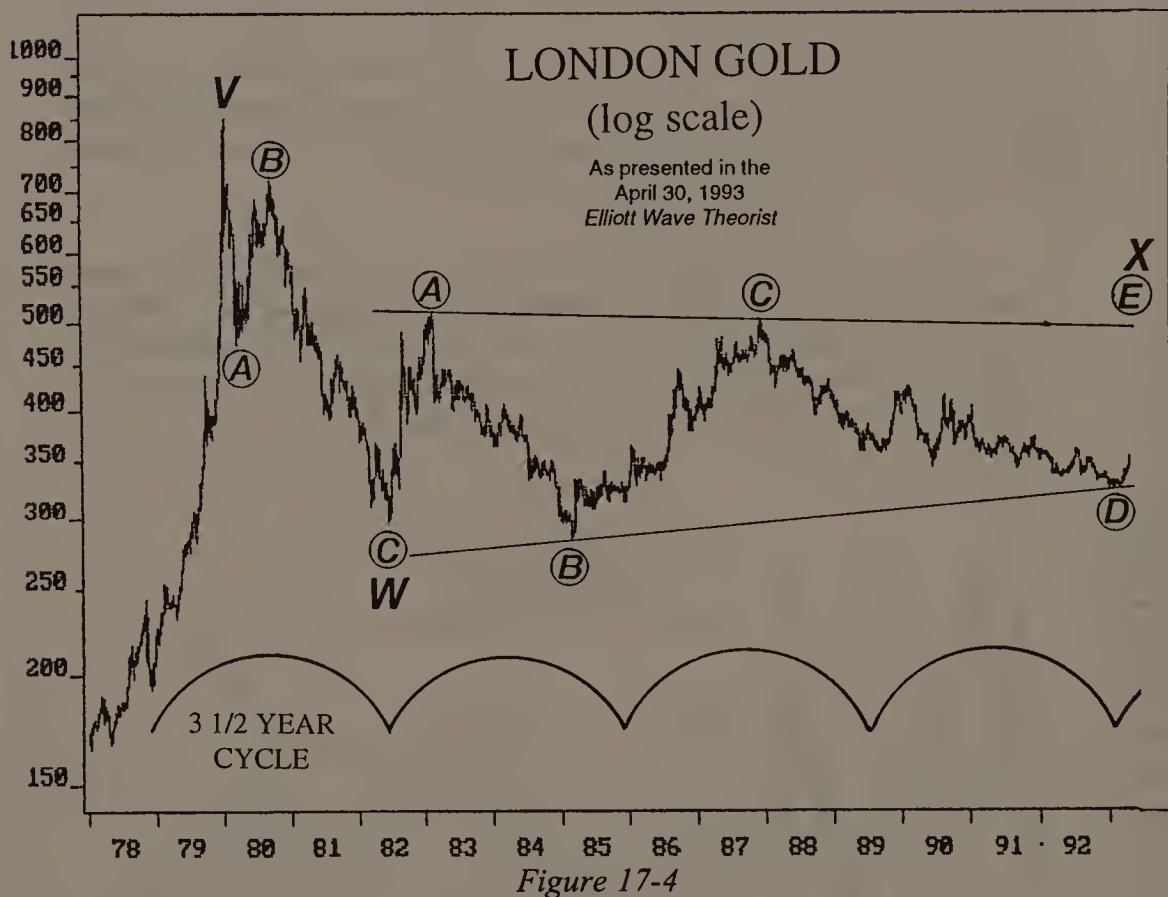


waves are always accompanied by extreme psychology, so bullish sentiment should be powerful by the time this rally peaks. After that peak, gold will experience its second and final (A)-(B)-(C) decline to its ultimate bear market bottom.



Since then, gold has moved higher, closing in on its most exciting juncture since reaching \$850/oz. in January 1980. Now let's undertake a thorough analysis of its current position and determine the resulting implications.

ANALYSIS

By definition, the five waves of a triangle each subdivide into three waves. Examine the updated chart in Figure 17-5, and you will see that within wave X, waves (A), (B), (C) and (D) have each subdivided into (a)-(b)-(c) or (w)-(x)-(y). Wave (E) should be no exception. Let's see how it is developing. Wave (a) of (E) peaked in July 1993. Wave (b) of (E) has been tracing out a contracting triangle, which is due to end soon. This is a thrilling development because a triangle